



Rishi Giri

BSE Code: 500875

NSE: ITC

FINANCIAL MODELING & VALUATION REPORT



Enduring Value

Nation First: Sab Saath Badhein

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ITC Limited
Valuation Date

20-02-2026

Average Implied Value:
Recommendation:

₹ 332
Hold

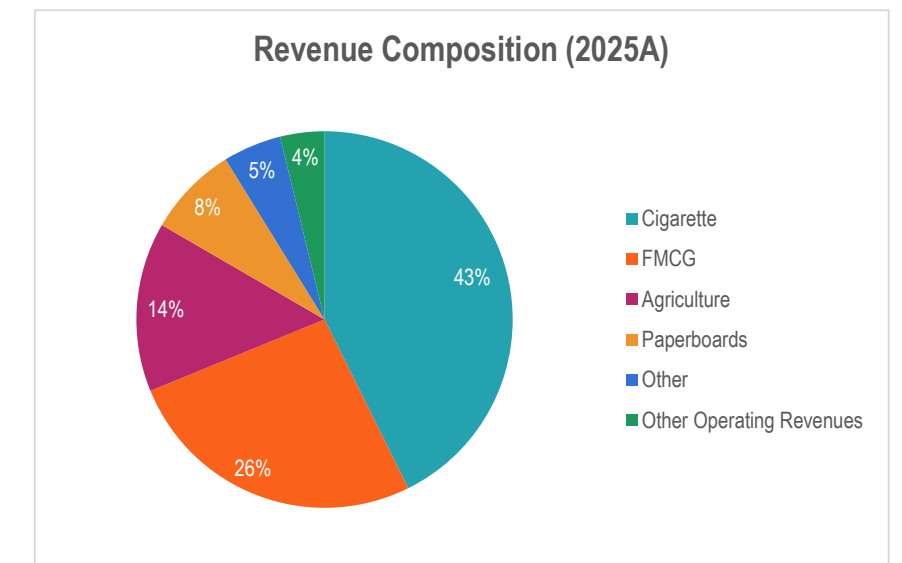
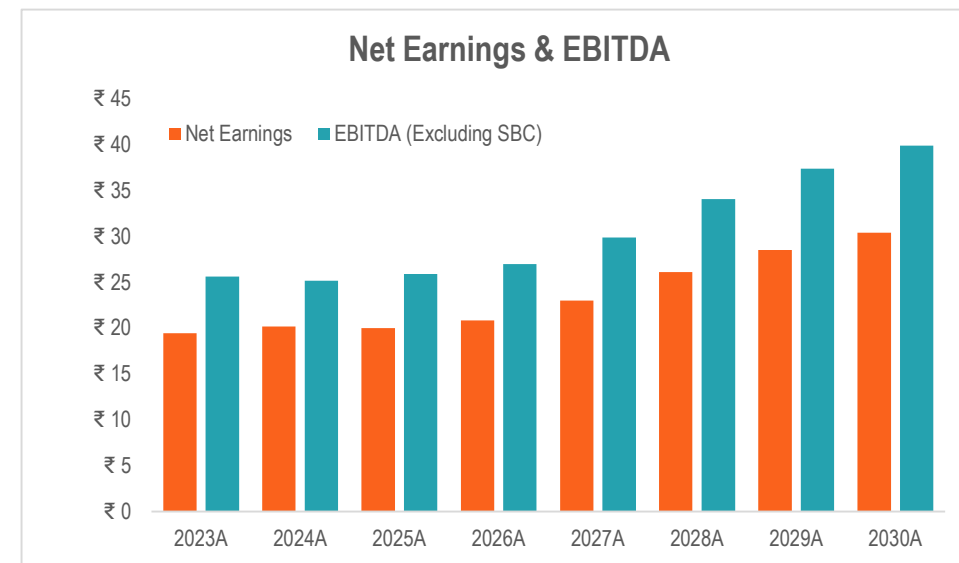
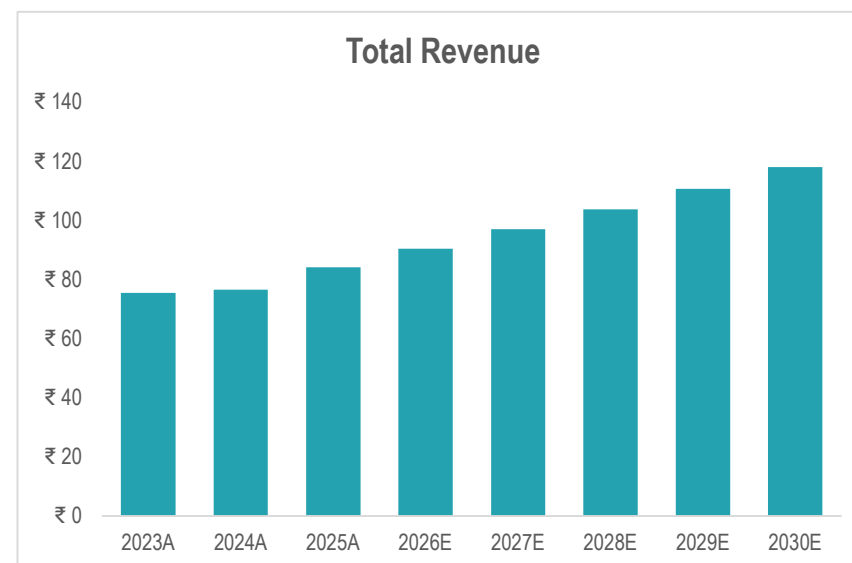
Company Overview

ITC Limited is a diversified Indian conglomerate with a strong presence across consumer goods, agribusiness, hotels, paperboards, packaging, and information technology services. The company operates through multiple business segments, including FMCG, Cigarettes, Hotels, Paperboards, Paper & Packaging, Agri-Business, and Information Technology.

- Manufacturing and selling cigarettes, which remains the company's largest profit-contributing segment
- Producing and marketing fast moving consumer goods (FMCG) such as packaged foods, personal care products, stationary and lifestyle products like Aashirvaad, Sunfeast, Bingo and Fiamma.
- Operating luxury, premium, and mid-scale hotels across India under the ITC Hotels brand.
- Manufacturing paperboards, specialty papers, and packaging products catering to both internal and external customers
- Engaging in agri-business, including sourcing, processing, and exporting agricultural commodities, and supporting farmers through the e-Choupal initiative.
- Providing IT services through its subsidiary ITC Infotech, focusing on digital transformation and technology solutions

ITC was incorporated in 1910 and is headquartered in Kolkata, West Bengal, India.

Historical and Forecast Financial Performance (₹'000Cr)



Current Capitalization (₹'Cr)

Current Share Price (₹/sh.) ₹ 326
Market Capitalization ₹ 4,08,452
Net Debt ₹ -3,649
Enterprise Value ₹ 4,04,803

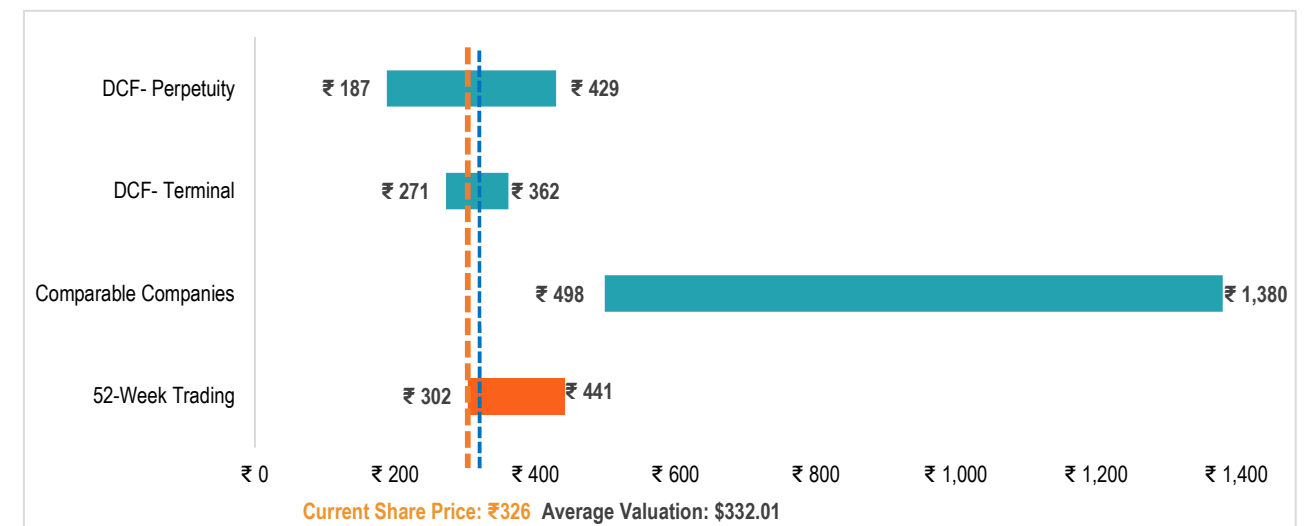
	2024A	2025A
EV / EBITDA	15.3x	14.9x
P/E	19.7x	11.7x

Total Debt / Equity 0.04%
Return on Capital Employed 57.9%

Historical Share Price Performance (₹)



Valuation Summary - Equity Value per Share (₹)



Revenue Drivers

All figures in INR Crores unless stated

Driver Switch

Base Case

▼

Cigarette Revenue Growth

- Best Case
- Base Case
- Worst Case

2026F	2027F	2028F	2029F	2030F
6.0%	6.0%	5.0%	5.0%	5.0%
8.0%	7.0%	7.0%	6.0%	6.0%
6.0%	6.0%	5.0%	5.0%	5.0%
4.0%	4.0%	3.0%	3.0%	3.0%

FMCG Revenue Growth

- Best Case
- Base Case
- Worst Case

8.0%	9.0%	9.0%	8.0%	8.0%
12.0%	12.0%	11.0%	10.0%	10.0%
8.0%	9.0%	9.0%	8.0%	8.0%
5.0%	6.0%	6.0%	6.0%	6.0%

Agriculture Revenue Growth

- Best Case
- Base Case
- Worst Case

12.0%	10.0%	8.0%	8.0%	8.0%
20.0%	18.0%	15.0%	12.0%	10.0%
12.0%	10.0%	8.0%	8.0%	8.0%
5.0%	5.0%	3.0%	3.0%	3.0%

Paperboards Revenue Growth

- Best Case
- Base Case
- Worst Case

7.0%	8.0%	8.0%	7.0%	7.0%
10.0%	10.0%	9.0%	9.0%	8.0%
7.0%	8.0%	8.0%	7.0%	7.0%
4.0%	5.0%	5.0%	5.0%	5.0%

Other Growth

- Best Case
- Base Case
- Worst Case

10.0%	1.0%	9.0%	9.0%	8.0%
14.0%	13.0%	12.0%	11.0%	10.0%
10.0%	1.0%	9.0%	9.0%	8.0%
7.0%	7.0%	6.0%	6.0%	5.0%

Other Income Growth

- Best Case
- Base Case
- Worst Case

7.0%	7.0%	6.0%	6.0%	6.0%
10.0%	10.0%	9.0%	9.0%	8.0%
7.0%	7.0%	6.0%	6.0%	6.0%
4.0%	4.0%	4.0%	3.0%	3.0%

Cost Drivers

All figures in INR Crores unless stated

Driver Switch

Cost of materials consumed

Best Case
Base Case
Worst Case

	2026F	2027F	2028F	2029F	2030F
	28.0%	28.0%	27.0%	27.0%	27.0%
Best Case	26.0%	26.0%	25.0%	25.0%	25.0%
Base Case	28.0%	28.0%	27.0%	27.0%	27.0%
Worst Case	30.0%	30.0%	30.0%	31.0%	31.0%

Purchases of Stock-in-Trade and Biological Assets

Best Case
Base Case
Worst Case

	10.0%	10.0%	9.0%	9.0%	9.0%
Best Case	8.0%	8.0%	8.0%	7.0%	7.0%
Base Case	10.0%	10.0%	9.0%	9.0%	9.0%
Worst Case	12.0%	12.0%	11.0%	11.0%	11.0%

Excise Duty

Best Case
Base Case
Worst Case

	24.0%	23.0%	23.0%	22.0%	22.0%
Best Case	22.0%	21.0%	21.0%	20.0%	20.0%
Base Case	24.0%	23.0%	23.0%	22.0%	22.0%
Worst Case	27.0%	28.0%	29.0%	30.0%	30.0%

Employee Benefit

Best Case
Base Case
Worst Case

	7.5%	7.5%	7.5%	7.5%	7.5%
Best Case	7.0%	7.0%	7.0%	6.5%	6.5%
Base Case	7.5%	7.5%	7.5%	7.5%	7.5%
Worst Case	8.5%	9.0%	9.0%	9.0%	9.0%

Other Operating Expenses

Best Case
Base Case
Worst Case

	14.0%	13.5%	13.5%	13.0%	13.0%
Best Case	13.0%	13.0%	12.5%	12.0%	12.0%
Base Case	14.0%	13.5%	13.5%	13.0%	13.0%
Worst Case	15.0%	15.0%	15.5%	15.5%	16.0%

Other Inputs

2026F	2027F	2028F	2029F	2030F
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Working Capital

Current Assets as days of sales:

Inventories	(Days)	70	70	70	70	70
Biological assets other than	(Days)	1	1	1	1	1
Investments	(Days)	73	73	73	73	73
Trade receivables	(Days)	21	22	22	22	23
Bank Balances	(Days)	15	15	15	15	15
Loans	(Days)	0	0	0	0	0
Other Financial Assets	(Days)	7	7	8	8	8
Other current assets	(Days)	6	6	6	6	6

Current Liabilities as days of sales:

Trade Payables - Micro & Small Enterprise	(Days)	1	1	1	1	1
Trade Payables - Others	(Days)	21	21	22	22	22
Other Financial Liabilities	(Days)	9	9	8	8	8
Other Current Liabilities	(Days)	27	27	27	27	27
Provisions	(Days)	0	0	0	0	0
Current Tax Liabilities (Net)	(Days)	5	5	5	5	5

Dates

First Year of Forecast	(YYY)	2026
Days in Period		365

Valuation & Capital Structure

Shares Outstanding	1253.00
Terminal Multiple	13.00
Current Share Price	326.00

Debt & Lease

Cost of Lease	8%
Net Borrowing added	50
Net Lease added	50
Net Debt (2025)	(3921)

Other Single Inputs

Dividend Payout Ratio	80%
Tax Rate	25%
Risk Free Rate	6.5%
Inflation	4.0%

Income Statement

All figures in INR Crores unless stated
Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Revenue From Operations	76,518	73,891	81,613	87,709	94,111	1,00,696	1,07,411	1,14,542
Other Income	1,980	2,693	2,530	2,707	2,896	3,070	3,254	3,449
Total Income	78,499	76,585	84,142	90,416	97,007	1,03,766	1,10,665	1,17,991
Cost of Materials Consumed	20,276	21,288	23,757	24,558	26,351	27,188	29,001	30,926
Purchases of Stock-in-Trade and Biological Assets	9,088	6,060	8,947	8,771	9,411	9,063	9,667	10,309
Changes in Inventories of Finished goods, Stock-in-Trade, Work-in-progress,	(359)	(368)	(726)	(726)	(726)	(726)	(726)	(726)
Excise Duty	5,581	5,959	6,289	9,131	9,276	9,740	9,782	10,271
Employee Benefits Expense	5,736	5,549	6,170	6,633	7,130	7,665	8,240	8,858
Finance Costs	43	39	45	48	52	56	60	64
Depreciation and Amortization Expense	1,809	1,518	1,646	1,997	2,219	2,453	2,700	2,961
Other Expenses	10,530	10,153	11,197	12,279	12,705	13,594	13,963	14,890
Total Expenses	52,705	50,199	57,326	62,692	66,418	69,032	72,687	77,553
Share of profit / (loss) of Associates and Joint Ventures	49	14	110	110	110	110	110	110
Profit Before Exceptional Items and Tax	25,842	26,400	26,927	27,834	30,700	34,844	38,088	40,548
Exceptional Items	73	-	-	-	-	-	-	-
Profit Before Tax	25,915	26,400	26,927	27,834	30,700	34,844	38,088	40,548
Current Tax	6,451	6,017	6,510	6,611	7,291	8,276	9,046	9,630
Deferred Tax	(13)	192	381	348	384	436	476	507
Profit for the year (X+XIV)	19,477	20,191	20,036	20,876	23,025	26,133	28,566	30,411

*FY2024 & FY2025 reported results include one-time discontinued operations impact which has been excluded from model for valuation consistency.

Cash Flow Statement

All figures in INR Crores unless stated
Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
CASH FROM OPERATING								
Net Profit				20,876	23,025	26,133	28,566	30,411
Add: Finance costs				48	52	56	60	64
Add: Depreciation				1,997	2,219	2,453	2,700	2,961
Less: Change in Working Capital				(2,173)	(2,512)	(2,329)	(2,407)	(2,857)
Subtotal				20,748	22,784	26,313	28,919	30,579
CASH FROM INVESTING								
Change in Investment				-	-	-	-	-
Capital Expenditure				(3,646)	(3,997)	(4,219)	(4,453)	(4,700)
Subtotal				(3,646)	(3,997)	(4,219)	(4,453)	(4,700)
CASH FROM FINANCING								
Change in Common Equity				3	3	3	3	3
Net Loan Raised for Long Term				100	100	100	100	100
Finance Cost Paid				(48)	(52)	(56)	(60)	(64)
Dividends				(16,701)	(18,420)	(20,907)	(22,853)	(24,329)
Subtotal				(16,646)	(18,369)	(20,860)	(22,810)	(24,290)
CASH BALANCE								
Beginning of the Year				620	1,076	1,494	2,728	4,384
Increase / (Decrease)				456	418	1,234	1,656	1,589
End of the Year				1,076	1,494	2,728	4,384	5,973

Balance Sheet

All figures in INR Crores unless stated

Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
ASSETS								
Non Current Aseets								
Property, Plant and Equipment	21,117	23,082	17,429	18,748	20,165	21,558	22,923	24,260
Capital work-in-progress	2,985	2,851	1,087	1,087	1,087	1,087	1,087	1,087
Investment Property	352	341	321	321	321	321	321	321
Goodwill	780	780	897	897	897	897	897	897
Other Intangible assets	2,727	2,678	2,725	2,999	3,298	3,608	3,930	4,265
Intangible assets under development	19	10	3	3	3	3	3	3
Right-of-use assets	875	939	582	638	700	764	829	897
Investment accounted for using the equity method	338	550	4,712	4,712	4,712	4,712	4,712	4,712
Investments	11,845	17,620	13,721	13,721	13,721	13,721	13,721	13,721
Loans	5	4	8	8	8	8	8	8
Other Financial Assets	3,740	409	1,558	1,558	1,558	1,558	1,558	1,558
Deferred tax assets (Net)	52	72	88	88	88	88	88	88
Income Tax Assets (Net)	66	45	50	50	50	50	50	50
Other non-current assets	1,312	1,380	1,016	1,016	1,016	1,016	1,016	1,016
Total	46,212	50,761	44,197	45,845	47,623	49,389	51,142	52,881
Current Assets								
Inventories	11,771	14,153	15,638	16,806	18,032	19,294	20,581	21,947
Biological assets other than	143	150	199	213	229	245	261	279
Investments	17,233	12,944	16,288	17,504	18,782	20,096	21,436	22,859
Trade receivables	2,956	4,026	4,720	5,072	5,672	6,069	6,474	7,218
Cash and cash equivalents	463	626	620	1,076	1,494	2,728	4,384	5,973
Bank Balances	4,417	6,592	3,392	3,646	3,912	4,186	4,465	4,761
Loans	7	10	10	10	11	12	13	-
Other Financial Assets	1,119	1,182	1,656	1,780	1,910	2,207	2,354	2,511
Other current assets	1,562	1,383	1,372	1,474	1,582	1,693	1,805	1,925
Total	39,671	41,066	43,893	47,582	51,624	56,530	61,773	67,473
Total Assets	85,883	91,826	88,091	93,426	99,247	1,05,919	1,12,915	1,20,354

EQUITY AND LIABILITIES

Equity

Equity Share capital	1,243	1,245	1,248	1,251	1,254	1,257	1,260	1,263
Other Equity	67,912	73,259	68,780	72,955	77,560	82,787	88,500	94,582
Non-controlling interests	384	383	368	368	368	368	368	368

Liabilities

Non Current Liabilities

Borrowings	3	2	-	-	-	-	-	-
Lease liabilities	213	231	137	173	208	244	279	315
Other Financial Liability (Non Current)	417	434	301	301	301	301	301	301
Provisions	259	288	303	303	303	303	303	303
Deferred tax liabilities (Net)	1,629	2,141	2,582	2,582	2,582	2,582	2,582	2,582
Other non-current liabilities	83	150	35	35	35	35	35	35

Current Liabilities

Borrowings	35	10	91	141	191	241	291	341
Lease liabilities	54	62	56	71	85	100	114	129
Trade Payables - Micro & Small Enterprise	138	207	181	194	208	223	238	254
Trade Payables - Others	4,521	4,591	4,627	4,972	5,335	6,069	6,474	6,904
Other financial liabilities	2,408	2,179	1,922	2,065	2,216	2,207	2,354	2,511
Other current liabilities	5,571	5,595	6,148	6,608	7,090	7,586	8,092	8,629
Provisions	101	107	80	86	92	99	105	112
Current Tax Liabilities (Net)	912	941	1,230	1,321	1,418	1,517	1,618	1,726

Total Liabilities & Equity	85,883	91,826	88,091	93,427	99,247	1,05,919	1,12,915	1,20,354
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Check	-	-	-	-	-	-	-	-
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Revenue Schedule

All figures in INR Crores unless stated
Model Running: Base Case Drivers

Cigarette

Revenue Growth		7.68%	6.61%	6.0%	6.0%	5.0%	5.0%	5.0%
Revenue	31,267	33,668	35,894	38,047	40,330	42,347	44,464	46,687

FMCG

Revenue Growth		9.9%	4.8%	8.0%	9.0%	9.0%	8.0%	8.0%
Revenue	19,109	20,992	22,005	23,766	25,905	28,236	30,495	32,935

Agriculture

Revenue Growth		(31.0%)	43.6%	12.0%	10.0%	8.0%	8.0%	8.0%
Revenue	12,362	8,524	12,244	13,713	15,085	16,291	17,595	19,002

Paperboards

Revenue Growth		52.9%	1.6%	7.0%	8.0%	8.0%	7.0%	7.0%
Revenue	4,234	6,475	6,576	7,036	7,599	8,207	8,782	9,396

Other

Revenue Growth		16.0%	14.4%	10.0%	1.0%	9.0%	9.0%	8.0%
Revenue	3,182	3,692	4,224	4,646	4,693	5,115	5,576	6,022

Other Income

Revenue Growth		36.0%	(6.1%)	7.0%	7.0%	6.0%	6.0%	6.0%
Revenue	1,980	2,693	2,530	2,707	2,896	3,070	3,254	3,449

Other Operating Revenues	3,365	541	670	500	500	500	500	500
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Cost Schedule

All figures in INR Crores unless stated
Model Running: Base Case Drivers

Cost of materials consumed

As % of Revenue	26.50%	28.81%	29.11%	28.0%	28.0%	27.0%	27.0%	27.0%
Cost of materials consumed	20,276	21,288	23,757	24,558	26,351	27,188	29,001	30,926

Purchases of Stock-in-Trade and Biological Assets

As % of Revenue	11.88%	8.2%	11.0%	10.0%	10.0%	9.0%	9.0%	9.0%
Purchases of Stock-in-Trade	9,088	6,060	8,947	8,771	9,411	9,063	9,667	10,309

Excise Duty

As % of Cigarette Revenue	17.85%	17.7%	17.5%	24.0%	23.0%	23.0%	22.0%	22.0%
Excise Duty	5,581	5,959	6,289	9,131	9,276	9,740	9,782	10,271

Employee Benefit

Annual Growth		(3.3%)	11.2%	7.5%	7.5%	7.5%	7.5%	7.5%
Employee expense	5,736	5,549	6,170	6,633	7,130	7,665	8,240	8,858

Other Operating Expense

As % of Total Revenue	13.76%	13.7%	13.7%	14.0%	13.5%	13.5%	13.0%	13.0%
Other Operating Expense	10,530	10,153	11,197	12,279	12,705	13,594	13,963	14,890

Working Capital Schedule

All figures in INR Crores unless stated
Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Days in Period	365	365	365	365	365	365	365	365
Revenue	76,518	73,891	81,613	87,709	94,111	1,00,696	1,07,411	1,14,542

Current Assets Other than cash

TOTAL AMOUNTS								
Inventories	11,771	14,153	15,638	16,806	18,032	19,294	20,581	21,947
Biological assets other than	143	150	199	213	229	245	261	279
Investments	17,233	12,944	16,288	17,504	18,782	20,096	21,436	22,859
Trade receivables	2,956	4,026	4,720	5,072	5,672	6,069	6,474	7,218
Bank Balances	4,417	6,592	3,392	3,646	3,912	4,186	4,465	4,761
Loans	7	10	10	10	11	12	13	-
Other Financial Assets	1,119	1,182	1,656	1,780	1,910	2,207	2,354	2,511
Other current assets	1,562	1,383	1,372	1,474	1,582	1,693	1,805	1,925

Current Liabilities

TOTAL AMOUNTS								
Trade Payables - Micro & Small Enterprise	138	207	181	194	208	223	238	254
Trade Payables - Others	4,521	4,591	4,627	4,972	5,335	6,069	6,474	6,904
Other financial liabilities	2,408	2,179	1,922	2,065	2,216	2,207	2,354	2,511
Other current liabilities	5,571	5,595	6,148	6,608	7,090	7,586	8,092	8,629
Provisions	101	107	80	86	92	99	105	112
Current Tax Liabilities (Net)	912	941	1,230	1,321	1,418	1,517	1,618	1,726

Net Working Capital	25,557	26,820	29,087	31,259	33,771	36,100	38,507	41,364
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Changes in NWC		1,263	2,266	2,173	2,512	2,329	2,407	2,857
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Current Assets as days of sales:

Inventories	(Days)	56	70	70	70	70	70	70
Biological assets other than	(Days)	1	1	1	1	1	1	1
Investments	(Days)	82	64	73	73	73	73	73
Trade receivables	(Days)	14	20	21	21	22	22	23
Bank Balances	(Days)	21	33	15	15	15	15	15
Loans	(Days)	0	0	0	0	0	0	-
Other Financial Assets	(Days)	5	6	7	7	7	8	8
Other current assets	(Days)	7	7	6	6	6	6	6

Current Liabilities as days of sales:

Trade Payables - Micro & Small Enterprise	(Days)	1	1	1	1	1	1	1
Trade Payables - Others	(Days)	22	23	21	21	21	22	22
Other financial liabilities	(Days)	11	11	9	9	9	8	8
Other current liabilities	(Days)	27	28	27	27	27	27	27
Provisions	(Days)	0	1	0	0	0	0	0
Current Tax Liabilities (Net)	(Days)	4	5	5	5	5	5	5

Capex Schedule

All figures in INR Crores unless stated
Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Property, Plant & Equipment	21117	23082	17429	18748	20165	21558	22923	24260
Right of Use Assets	875	939	582	638	700	764	829	897
Other Intangible Assets	2727	2678	2725	2999	3298	3608	3930	4265
Gross Long Term Assets	35418	38997	32332	35979	39976	44194	48647	53347
Property, Plant & Equipment	31296	34695	28314	31507	35007	38701	42600	46716
Right of Use Assets	1038	1147	735	817	908	1004	1105	1212
Other Intangible Assets	3085	3155	3284	3655	4061	4489	4941	5419
Accumulated Depreciation:	10699	12298	11597	13594	15812	18265	20965	23926
Property, Plant & Equipment	10178	11613	10885	12759	14841	17143	19678	22456
Right of Use Assets	163	208	153	179	208	241	276	315
Other Intangible Assets	358	477	559	656	763	881	1011	1154
Net Long Term Assets	24719	26700	20736	22385	24163	25929	27682	29421
Property, Plant & Equipment	21117	23082	17429	18748	20165	21558	22923	24260
Right of Use Assets	875	939	582	638	700	764	829	897
Other Intangible Assets	2727	2678	2725	2999	3298	3608	3930	4265
Depreciation & Amortisation	1809	1518	1646	1997	2219	2453	2700	2961
As a % of Opening GLTA	5.11%	3.89%	5.09%	5.55%	5.55%	5.55%	5.55%	5.55%
Total Capex		5388	(5147)	3646	3997	4219	4453	4700
Maintenance Capex		1809	1518	1646	1997	2219	2453	2700
Growth Capex		3579	(6665)	2000	2000	2000	2000	2000

Debt Schedule

All figures in INR Crores unless stated
Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Long term Borrowings	3.49	1.76	-	-	-	-	-	-
Short Term Borrowing	35.32	9.52	91.26	141.26	191.26	241.26	291.26	341.26
Total Borrowings	38.81	11.28	91.26	141.26	191.26	241.26	291.26	341.26
Long Term Lease	213.37	230.61	137.21	172.71	208.20	243.70	279.19	314.69
Short Term Lease	53.86	61.54	56.07	70.57	85.08	99.58	114.09	128.59
Total Lease	267.23	292.15	193.28	243.28	293.28	343.28	393.28	443.28
Lease liabilities	20.26	15.33	16.31	19.46	23.46	27.46	31.46	35.46
financial liabilities measured at amortised cost	9.70	9.00	16.10	16.10	16.10	16.10	16.10	16.10
Others (to statutory authorities etc.)	13.24	14.78	12.65	12.65	12.65	12.65	12.65	12.65
Total Interest	43.20	39.11	45.06	48.21	52.21	56.21	60.21	64.21
Cost of Lease		5%	8%	8%	8%	8%	8%	8%
Net Borrowing added		(27.53)	79.98	50.00	50.00	50.00	50.00	50.00
Net Lease added		24.92	(98.87)	50.00	50.00	50.00	50.00	50.00

Income Tax Schedule

All figures in INR Crores unless stated
Model Running: Base Case Drivers

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Current Tax %	95%							
Deferred Tax %	5.0%							
TOTAL TAX EXPENSE								
EBT	25,915	26,400	26,927	27,834	30,700	34,844	38,088	40,548
Total Tax	6,438	6,209	6,890	6,959	7,675	8,711	9,522	10,137
Tax Rate	24.84%	23.52%	25.59%	25.00%	25.00%	25.00%	25.00%	25.00%
Current tax	6,451	6,017	6,510	6,611	7,291	8,276	9,046	9,630
As % of total tax	100.2%	96.9%	94.5%	95.0%	95.0%	95.0%	95.0%	95.0%
Deferred tax charges	(13)	192	381	348	384	436	476	507
As % of total tax	-0.2%	3.1%	5.5%	5.0%	5.0%	5.0%	5.0%	5.0%
TAXES								
Current Taxes	6,451	6017	6510	6611	7291	8276	9046	9630
Deferred Taxes	(13)	192	381	348	384	436	476	507
Total Taxes	6,438	6209	6890	6959	7675	8711	9522	10137

Equity Schedule

All figures in INR Crores unless stated
Model Running: Base Case Drivers

		2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
COMMON EQUITY									
Beginning Balance		1,232	1,242	1,245	1,248	1,251	1,254	1,257	1,260
Increase / (Decrease)		10	3	3	3	3	3	3	3
Ending Balance		1,242	1,245	1,248	1,251	1,254	1,257	1,260	1,263
Net Income		19,477	20,191	20,036	20,876	23,025	26,133	28,566	30,411
Payout Ratio		79.2%	98.6%	88.8%	80.0%	80.0%	80.0%	80.0%	80.0%
Dividend		15,418	19,899	17,782	16,701	18,420	20,907	22,853	24,329

RETAINED EARNINGS

Beginning Balance					68,780	72,955	77,560	82,787	88,500
Net Income					20,876	23,025	26,133	28,566	30,411
Dividends					(16,701)	(18,420)	(20,907)	(22,853)	(24,329)
Ending Balance				68,780	72,955	77,560	82,787	88,500	94,582

Weighted Average Cost of Capital

All figures in INR Crores unless stated

Name	Region	Debt	Equity	Average Tax Rate ¹	Debt/Equity	Debt/Capital	Levered Beta ⁴	Unlevered Beta ³
ITC Ltd	India	363	4,07,764	25.0%	0.09%	0.09%	0.48	0.48
Hindustan Unilever Ltd	India	1,775	5,43,331	25.0%	0.33%	0.33%	0.50	0.50
Nestle India Ltd	India	477	2,47,856	25.0%	0.19%	0.19%	0.75	0.75
Britannia Industries Ltd	India	2,196	1,47,971	25.0%	1.48%	1.46%	0.49	0.48
Marico Ltd	India	575	1,00,546	25.0%	0.57%	0.57%	0.51	0.51
Dabur India Ltd	India	1,301	91,629	25.0%	1.4%	1.4%	0.85	0.84
				Average	25.0%	0.7%	0.60	0.59
				Median	25.0%	0.4%	0.51	0.50

Risk Premium for Equity

Market Risk Premium	8.6%
Average Unlevered Beta	0.59
Levered Beta ⁴	0.60
Equity Risk Premium	5.1%

Cost of Equity

Risk Free Rate	6.6%
Equity Risk Premium	5.1%
Country Risk Premium	1.5%
Cost of Equity	11.1%

Capital Structure

		Current	Target
Total Debt	363	0.1%	0.7%
Market Capitalization	4,07,764	99.9%	99.3%
Total Capitalization	4,08,127	100.0%	100.0%
Debt / Equity		0.1%	0.7%

Cost of Debt

Pre-Tax Cost of Debt	5.5%
Tax Rate	25.0%
After-Tax Cost of Debt	4.1%

Weighted Average Cost of Capital

	Weight	Cost
Debt Capital	0.7%	4.1%
Equity Capital	99.3%	11.1%
Weighted Average Cost of Capital		11.1%

Tax Rate is considered as Marginal Tax Rate for the country⁽¹⁾

Levered beta is based on 2-Year weekly data. ⁽²⁾

Unlevered Beta = Levered Beta / (1 + (1 - Tax Rate) x Debt-to-Equity) ⁽³⁾

Levered Beta = Unlevered Beta x (1 + (1 - Tax rate) x (Debt-to-Equity)) ⁽⁴⁾

Unlevered Free Cash Flow Schedule / FCFF

All figures in INR Crores unless stated
Model Running: Base Case Drivers

UFCF Using EBIT

EBIT
Tax Rate
Net Operating Profit After Taxes (NOPAT)
Depreciation
Capex Investment
Change in working capital
Unlevered Free Cash Flow (UFCF) using EBIT

	2026F	2027F	2028F	2029F	2030F
EBIT	27,882	30,752	34,900	38,148	40,612
Tax Rate	25%	25%	25%	25%	25%
Net Operating Profit After Taxes (NOPAT)	20,912	23,064	26,175	28,611	30,459
Depreciation	1,997	2,219	2,453	2,700	2,961
Capex Investment	(3,646)	(3,997)	(4,219)	(4,453)	(4,700)
Change in working capital	(2,173)	(2,512)	(2,329)	(2,407)	(2,857)
Unlevered Free Cash Flow (UFCF) using EBIT	17,090	18,774	22,080	24,451	25,863

Free Cash Flow To Equity

All figures in INR Crores unless stated
Model Running: Base Case Drivers

UFCF Using EBIT

EBIT - Interest - Tax
Add Depreciation
Less Change in Net Working Capital
Less Capital Expenditure
Add Net Borrowings

	2026F	2027F	2028F	2029F	2030F
EBIT - Interest - Tax	20,876	23,025	26,133	28,566	30,411
Add Depreciation	1997	2219	2453	2700	2961
Less Change in Net Working Capital	(2173)	(2512)	(2329)	(2407)	(2857)
Less Capital Expenditure	(3,646)	(3,997)	(4,219)	(4,453)	(4,700)
Add Net Borrowings	50.00	50.00	50.00	50.00	50.00
	17,104	18,785	22,088	24,456	25,865

Discounted Cash Flow Schedule: Perpetuity Method

All figures in INR Crores unless stated
Model Running: Base Case Drivers

Terminal Growth	4.0%
WACC	11.1%

Fiscal Year End
Cash Flow Timing

Valuation	Discrete Forecast					Term
(DD-MM-YY)	(DD-MM-YY)	(DD-MM-YY)	(DD-MM-YY)	(DD-MM-YY)	(DD-MM-YY)	(DD-MM-YY)
#####	31-03-2026	31-03-2027	31-03-2028	31-03-2029	31-03-2030	31-03-2031
#####	30-09-2025	30-09-2026	30-09-2027	30-09-2028	30-09-2029	30-09-2030

Unlevered Free Cash Flow

-	17,090	18,774	22,080	24,451	25,863	26,898
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UNADJUSTED CASH FLOW

Discrete Forecast
Terminal Value
Total Cash Flow

-	17,090	18,774	22,080	24,451	25,863	
-	-	-	-	-	3,79,114	
-	17,090	18,774	22,080	24,451	4,04,977	

ADJUSTED CASH FLOW

Partial Period Adjustment

Discrete Forecast
Terminal Value
Total Cash Flow

-	100.0%	100.0%	100.0%	100.0%	100.0%	
-	17,090	18,774	22,080	24,451	25,863	
-	-	-	-	-	3,79,114	
-	17,090	18,774	22,080	24,451	4,04,977	

DISCOUNTED CASH FLOW

Years for Discounting

Discrete Forecast
Terminal Value
Total Cash Flow

-	0.50	1.50	2.50	3.50	4.50	
-	16,214	16,033	16,973	16,919	16,109	
-	-	-	-	-	2,36,128	
-	16,214	16,033	16,973	16,919	2,52,236	

ENTERPRISE VALUE

Manual Method	3,18,375
XNPV Function ¹	3,18,252

ENTERPRISE VALUE

PV of Discrete	26%	82,248
PV of Terminal	74%	2,36,128
Enterprise Value	100%	3,18,375

EQUITY VALUE

Enterprise Value	3,18,252
Less: Net Debt	(3,921)
Equity Value	3,22,173

EQUITY VALUE PER SHARE

Equity Value		3,22,173
Shares Outstanding	(Cr)	1,253
Equity Value	(₹/sh)	257.12

The Enterprise Value from the XNPV Function is slightly different due to treatment of leap years. ⁽¹⁾

Discounted Cash Flow Schedule: Multiple Method

All figures in INR Crores unless stated
Model Running: Base Case Drivers

Terminal Multiple	13.0x
WACC	11.1%

Unlevered Free Cash Flow
EBITDA

UNADJUSTED CASH FLOW

Discrete Forecast
Terminal Value ¹
Total Cash Flow

ADJUSTED CASH FLOW

Partial Period Adjustment

Discrete Forecast
Terminal Value
Total Cash Flow

DISCOUNTED CASH FLOW

Years for Discounting

Discrete Forecast
Terminal Value
Total Cash Flow

Fiscal Year End
Cash Flow Timing

Valuation	Discrete Forecast					Term
(DD-MM-YY)	(DD-MM-YY)	(DD-MM-YY)	(DD-MM-YY)	(DD-MM-YY)	(DD-MM-YY)	(DD-MM-YY)
#####	31-03-2026	31-03-2027	31-03-2028	31-03-2029	31-03-2030	31-03-31
#####	30-09-2025	30-09-2026	30-09-2027	30-09-2028	30-09-2029	30-09-30
	17,090	18,774	22,080	24,451	25,863	26,898
						39,949
-	17,090	18,774	22,080	24,451	25,863	26,898
-	-	-	-	-	-	5,19,337
-	17,090	18,774	22,080	24,451	25,863	5,46,235
-	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
-	17,090	18,774	22,080	24,451	25,863	26,898
-	-	-	-	-	-	5,19,337
-	17,090	18,774	22,080	24,451	25,863	5,46,235
-	0.50	1.50	2.50	3.50	4.50	5.50
-	16,214	16,033	16,973	16,919	16,109	15,080
-	-	-	-	-	-	2,91,161
-	16,214	16,033	16,973	16,919	16,109	3,06,240

ENTERPRISE VALUE

Manual Method	3,88,488
XNPV Function ²	3,88,334

ENTERPRISE VALUE

PV of Discrete	25%	97,327
PV of Terminal	75%	2,91,161
Enterprise Value	100%	3,88,488

EQUITY VALUE

Enterprise Value	3,88,334
Less: Net Debt	(3,921)
Equity Value	3,92,255

EQUITY VALUE PER SHARE

Equity Value	3,92,255
Shares Outstanding	(Cr) 1,253
Equity Value	(₹/sh) 313.05

We have applied an appropriate market EBITDA multiple to the EBITDA of the terminal year to estimate the Terminal Value⁽¹⁾
The Enterprise Value from the XNPV Function is slightly different from the Manual Method due to treatment of leap years. ⁽²⁾

Model Drivers Set To

Base Case

▼

All figures in INR Crores unless stated

Main Outputs ¹

		Enterprise Value	Equity Value	Equity Per Share
Best Case	1	3,41,997	3,45,918	276.07
Base Case	2	2,63,238	2,67,159	213.22
Worst Case	3	1,65,706	1,69,627	135.38

Enterprise Value ¹

		Terminal Growth Rate				
		3.0%	3.5%	4.0%	4.5%	5.0%
3,18,252						
13.1%		2,30,251	2,38,925	2,48,554	2,59,302	2,71,378
12.1%		2,55,542	2,66,630	2,79,088	2,93,187	3,09,272
11.1%		2,87,105	3,01,653	3,18,252	3,37,367	3,59,619
10.1%		3,27,594	3,47,324	3,70,292	3,97,366	4,29,753
9.1%		3,81,402	4,09,355	4,42,794	4,83,511	5,34,171

Equity Value

		Terminal Growth Rate				
		3.0%	3.5%	4.0%	4.5%	5.0%
13.1%		2,34,172	2,42,846	2,52,475	2,63,223	2,75,299
12.1%		2,59,463	2,70,551	2,83,009	2,97,108	3,13,193
11.1%		2,91,026	3,05,574	3,22,173	3,41,288	3,63,540
10.1%		3,31,515	3,51,245	3,74,213	4,01,287	4,33,674
9.1%		3,85,323	4,13,276	4,46,715	4,87,432	5,38,092

Selected Inputs

Terminal Growth Rate		4.0%
WACC		11.1%
Net Debt (2025)		(3,921)
Shares Outstanding	(Cr)	1,253
Current Stock Price	(₹/sh)	326.00

Equity Value per Share

		Terminal Growth Rate				
		3.0%	3.5%	4.0%	4.5%	5.0%
13.1%		186.89	193.81	201.50	210.07	219.71
12.1%		207.07	215.92	225.87	237.12	249.95
11.1%		232.26	243.87	257.12	272.38	290.14
10.1%		264.58	280.32	298.65	320.26	346.11
9.1%		307.52	329.83	356.52	389.01	429.44

Premium (Discount) to Stock Price

		Terminal Growth Rate				
		3.0%	3.5%	4.0%	4.5%	5.0%
13.1%		(42.7%)	(40.5%)	(38.2%)	(35.6%)	(32.6%)
12.1%		(36.5%)	(33.8%)	(30.7%)	(27.3%)	(23.3%)
11.1%		(28.8%)	(25.2%)	(21.1%)	(16.4%)	(11.0%)
10.1%		(18.8%)	(14.0%)	(8.4%)	(1.8%)	6.2%
9.1%		(5.7%)	1.2%	9.4%	19.3%	31.7%

These tables require the workbook calculation to be set to automatic to update. ⁽¹⁾

Model Drivers Set To

Base Case

▼

All figures in INR Crores unless stated

Main Outputs ¹

		Enterprise Value	Equity Value	Equity Per Share
Best Case	1	4,69,607	4,73,528	377.92
Base Case	2	3,64,001	3,67,922	293.63
Worst Case	3	2,33,088	2,37,009	189.15

Enterprise Value ¹

		Terminal Multiple				
		12.0x	12.5x	13.0x	13.5x	14.0x
3,88,334						
13.1%		3,35,831	3,45,977	3,56,124	3,66,271	3,76,417
12.1%		3,50,470	3,61,125	3,71,780	3,82,435	3,93,090
11.1%		3,65,947	3,77,141	3,88,334	3,99,528	4,10,722
10.1%		3,82,319	3,94,084	4,05,849	4,17,614	4,29,379
9.1%		3,99,648	4,12,019	4,24,390	4,36,761	4,49,132

Equity Value

		Terminal Multiple				
		12.0x	12.5x	13.0x	13.5x	14.0x
13.1%		3,39,752	3,49,898	3,60,045	3,70,192	3,80,338
12.1%		3,54,391	3,65,046	3,75,701	3,86,356	3,97,011
11.1%		3,69,868	3,81,062	3,92,255	4,03,449	4,14,643
10.1%		3,86,240	3,98,005	4,09,770	4,21,535	4,33,300
9.1%		4,03,569	4,15,940	4,28,311	4,40,682	4,53,053

Selected Inputs

Terminal Multiple		13.0x
WACC		11.1%
Net Debt (2025)		(3,921)
Shares Outstanding	(Cr)	1,253
Current Stock Price	(₹/sh)	326.00

Equity Value per Share

		Terminal Multiple				
		12.0x	12.5x	13.0x	13.5x	14.0x
13.1%		271.15	279.25	287.35	295.44	303.54
12.1%		282.83	291.34	299.84	308.34	316.85
11.1%		295.19	304.12	313.05	321.99	330.92
10.1%		308.25	317.64	327.03	336.42	345.81
9.1%		322.08	331.96	341.83	351.70	361.57

Premium (Discount) to Stock Price

		Terminal Multiple				
		12.0x	12.5x	13.0x	13.5x	14.0x
13.1%		(16.8%)	(14.3%)	(11.9%)	(9.4%)	(6.9%)
12.1%		(13.2%)	(10.6%)	(8.0%)	(5.4%)	(2.8%)
11.1%		(9.5%)	(6.7%)	(4.0%)	(1.2%)	1.5%
10.1%		(5.4%)	(2.6%)	0.3%	3.2%	6.1%
9.1%		(1.2%)	1.8%	4.9%	7.9%	10.9%

These tables require the workbook calculation to be set to automatic to update. ⁽¹⁾

Relative Valuation - Using Comparable Company Analysis

All figures in INR Crores unless stated

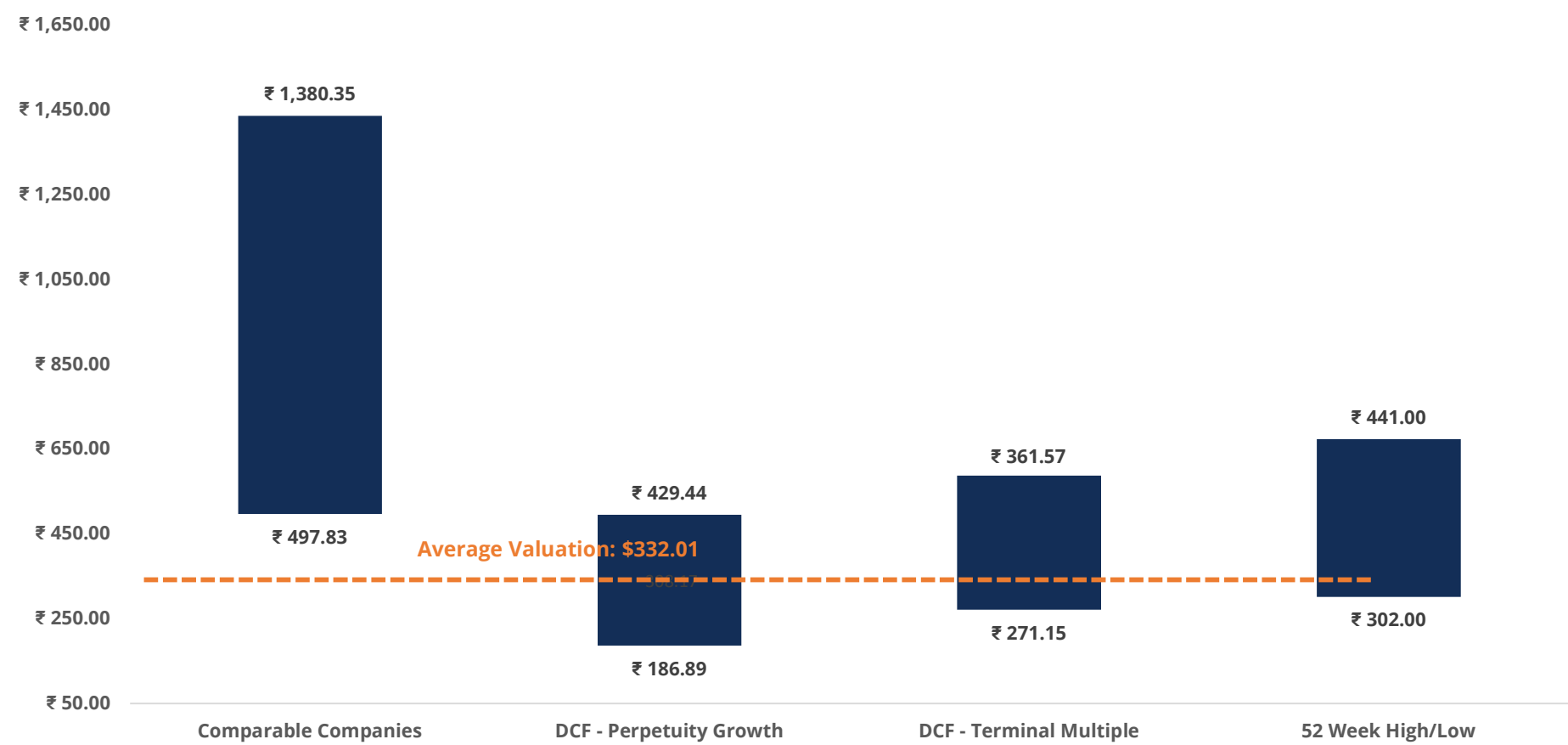
Peer Companies	Industry	Location	Share	Shares	Market	Net	Enterprise	Financials				Valuation	
			Price	Outstand.	Cap	Debt	Value ¹	Revenue	EBITDA	Net Income	EV/Revenue	EV/EBITDA	P / E ²
			\$	mm							x	x	x
ITC Ltd	FMCG	India	326	1,252.92	4,08,452	(3,649)	4,04,803	79,809	28,613	35,356	5.1x	14.1x	11.6x
Hindustan Unilever Ltd	FMCG	India	2279	234.96	5,35,544	(5,779)	5,29,765	64,544	16,265	14,540	8.2x	32.6x	36.8x
Britannia Industries Ltd	FMCG	India	6109	24.09	1,47,154	1,884	1,49,038	18,865	3,814	2,416	7.9x	39.1x	60.9x
Marico Ltd	FMCG	India	780	129.81	1,01,271	(202)	1,01,069	13,008	2,459	1,750	7.8x	41.1x	57.9x
Dabur India Ltd	FMCG	India	502	177.37	88,978	723	89,701	12,985	2,880	1,819	6.9x	31.1x	48.9x
Godrej Consumer	FMCG	India	1185	102.32	1,21,259	3,630	1,24,890	15,184	3,332	1,822	8.2x	37.5x	66.6x
Godfrey Philips		India	2488	15.60	38,810	(145)	38,665	6,177	1,431	1,284	6.3x	27.0x	30.2x
Average											7.2x	31.8x	44.7x
Median											7.8x	32.6x	48.9x
Maximum											8.2x	41.1x	66.6x
Minimum											5.1x	14.1x	11.6x

ITC Comparable Valuation

	EV/Revenue	EV/EBITDA	P / E ²
Implied Enterprise Value	620098	931951	1725815
Net Debt	(3649)	(3649)	(3649)
Implied Market Value	623747	935600	1729464
Shares Outstanding	1252.92	1252.92	1252.92
Implied Value per Share	497.8	746.7	1,380.3

Undervalued Undervalued Undervalued

Enterprise Value = Market Cap + Net Debt. ⁽¹⁾
Calculated as Market Cap divided by Net Income. ⁽²⁾



Notes
This Excel model is provided "as is" and designed for educational purposes only and should not be used for any other reason.